Daiwa Capital Markets Hong Kong Limited

Wistron (3231 TT)

Target price: **TWD300.00** (from TWD288.00)

Share price (11 Nov): **TWD174.50** | Up/downside: **+71.9%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 results review: solid profitability from parent

- Favourable AI server orders in 2027 due to higher enterprise client mix
- Pricing also favourable given its better supply-demand dynamic
- Reaffirming our Buy (1) rating; lifting our 12-month TP to TWD300

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What's new: We review Wistron's 3Q26 results, released on 11 November.

What's the impact: **3Q26 results beat on profitability.** Wistron's 3Q26 net profit was TWD18.4bn (EPS: TWD5.79), 24/27% above our/the street's estimates, mainly due to better-than-expected parent company profitability. While revenue missed our estimate by 5% on lower than-expected NVL72 shipments (c.4.5k vs. our estimate of 5k) to its key clients, 3Q26 gross margin came in at 5.9% (vs. 5.7% in 2Q26) on improved AI server profitability after pricing renegotiations. Wiwynn's better-than-expected GM also supported blended GM. Operating margin improved 0.5pp to 4.2% in 3Q26 on GM expansion and operating leverage. Lastly, net income beat our estimate by 24% (vs. operating income beating by 12%), driven by the parent company's higher-than-expected profit. Management also credited improved AI profitability to new clients and new projects (eg, CPU racks).

Business outlook. Within the ODM space, we like Wistron and Wiwynn (6669 TT, TWD1,680, Buy [1]) the most, given rising server exposure with agentic AI demand and fastest growth from AI server sales due to favourable product mix (rising enterprise demand for OEMs, such as Dell and Lenovo). We forecast Wistron to ship 17.8k/26.5k NVL72 racks in 2026/27E, respectively, which would mean its NV GPU server allocation increases from c.25% in 2026 to c.30% in 2027, which could reflect the favourable client mix. Also, due to its unique position (fewer ODMs to manufacture AI servers for server OEMs), we believe Wistron could further raise its pricing and improve its AI server gross margin from 2H26 (c.3% vs. 2.5% in 1H26). The ratio is still lower than other server ODMs' 4-5%, given that Wistron normally delivers at the L10 level, while the profit from L10 to L11 would belong to server OEMs (such as Dell) or its subsidiary – Wiwynn – for other hyperscalers. Additionally, we believe Wistron is more likely to utilise consignment in 2027, as its key customers will have fewer alternatives (vs. hyperscalers). Its CPU rack also started shipping from October 2026, earlier than our previous estimate. However, we had forecast total CPU rack shipments for 2026 at 20k, with Hon Hai and Wistron sharing the number. We now revise this to 10k, starting from 4Q26.

What we recommend: We lift our 2026-28E EPS by 8-16% to factor in higher NVL72 shipments, CPU rack shipments, and subsidiary's contribution. We lift our 12M TP to TWD300 (from TWD288), based on a lower target PER of 10x (prior: 13x; high end of its past-1-year range of 7-11x) applied to our 1-year forward diluted EPS, to reflect weaker market sentiment. We reaffirm our Buy (1) rating. Downside risk: worse-than expected AI server demand.

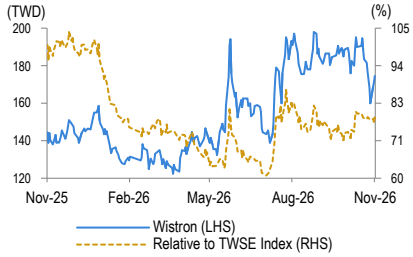
How we differ: Our 2026-28E EPS are 14-25% above the Bloomberg consensus, as we are more positive on Wistron group's revenue growth.

Forecast revisions (%)

Year to 12 Dec	26E	27E	28E
Revenue change	0.9	10.9	13.6
Net profit change	13.1	15.5	8.4
Core EPS (FD) change	13.1	15.5	8.4

Source: Daiwa forecasts

Share price performance



12-month range	122.50-198.00
Market cap (USDbn)	18.16
3m avg daily turnover (USDm)	251.69
Shares outstanding (m)	3,430
Major shareholder	New labour pension fund (3.2%)

Financial summary (TWD)

Year to 12 Dec	26E	27E	28E
Revenue (m)	4,278,591	7,463,985	9,550,415
Operating profit (m)	165,746	256,401	321,300
Net profit (m)	63,042	102,085	128,647
Core EPS (fully-diluted)	18.378	29.760	37.504
EPS change (%)	113.3	61.9	26.0
Daiwa vs Cons. EPS (%)	14.0	25.0	21.0
PER (x)	9.5	5.9	4.7
Dividend yield (%)	2.9	6.9	10.3
DPS	5.0	12.0	18.0
PBR (x)	2.2	1.8	1.5
EV/EBITDA (x)	5.5	4.0	3.4
ROE (%)	28.1	33.8	35.2

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

Flash

Wistron: revenue and earnings forecasts vs. Bloomberg consensus

	2026E			2027E			2028E		
(TWDm)	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	4,241,365	4,278,591	4,006,792	6,731,412	7,463,985	6,228,277	8,406,783	9,550,415	8,088,955
Diff (%)		**0.9%**	**6.8%**		**10.9%**	**19.8%**		**13.6%**	**18.1%**
Gross Margin (%)	5.4%	5.6%	5.5%	4.8%	4.8%	4.9%	4.9%	4.6%	4.8%
Operating profit	152,081	165,746	144,847	229,563	256,401	209,046	302,830	321,300	267,966
Op Margin (%)	3.6%	3.9%	3.6%	3.4%	3.4%	3.4%	3.6%	3.4%	3.3%
Net profit	55,760	63,042	55,322	88,368	102,085	81,654	118,673	128,647	106,280
EPS	16.25	18.38	16.13	25.76	29.76	23.80	34.59	37.50	30.98
Diff (%)		**13.1%**	**14.0%**		**15.5%**	**25.0%**		**8.4%**	**21.0%**

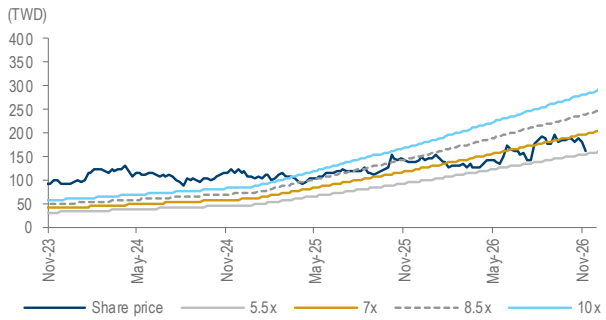
Source: Bloomberg, Daiwa forecasts

Wistron: quarterly and annual P&L

	2026				2027E				2025	2026E	2027E	2028E
(TWDm)	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE				
Net revenue	**846,303**	**895,443**	**1,149,090**	**1,387,754**	**1,552,199**	**1,779,498**	**1,961,457**	**2,170,830**	**2,186,523**	**4,278,591**	**7,463,985**	**9,550,415**
COGS	(802,209)	(844,779)	(1,081,290)	(1,312,171)	(1,473,098)	(1,693,759)	(1,870,220)	(2,069,378)	(2,052,539)	(4,040,449)	(7,106,455)	(9,110,288)
Gross profit	**44,094**	**50,664**	**67,800**	**75,584**	**79,101**	**85,739**	**91,238**	**101,452**	**133,983**	**238,142**	**357,530**	**440,127**
Operating expenses	(14,957)	(17,216)	(19,128)	(21,094)	(22,973)	(24,913)	(25,891)	(27,352)	(55,430)	(72,395)	(101,129)	(118,827)
Operating profit	**29,137**	**33,447**	**48,672**	**54,490**	**56,129**	**60,826**	**65,346**	**74,099**	**78,553**	**165,746**	**256,401**	**321,300**
Non-operating profit	(5,630)	(2,363)	(6,203)	(8,313)	(8,478)	(8,349)	(8,380)	(8,402)	(2,296)	(22,509)	(33,609)	(33,536)
Pre-tax profit	**23,508**	**31,084**	**42,469**	**46,177**	**47,651**	**52,477**	**56,967**	**65,697**	**76,257**	**143,238**	**222,792**	**287,764**
Income taxes	(5,487)	(7,340)	(9,982)	(11,044)	(11,436)	(12,595)	(13,672)	(15,767)	(48,849)	(80,196)	(120,706)	(159,117)
Net profit	**9,631**	**14,827**	**18,402**	**20,182**	**21,162**	**24,282**	**26,842**	**29,800**	**27,408**	**63,042**	**102,085**	**128,647**
Net EPS (TWD)	**3.03**	**4.66**	**5.79**	**5.88**	**6.17**	**7.08**	**7.83**	**8.69**	**8.62**	**18.38**	**29.76**	**37.50**
Operating Ratios												
Gross margin	5.2%	5.7%	5.9%	5.4%	5.1%	4.8%	4.7%	4.7%	6.1%	5.6%	4.8%	4.6%
Operating margin	3.4%	3.7%	4.2%	3.9%	3.6%	3.4%	3.3%	3.4%	3.6%	3.9%	3.4%	3.4%
Pre-tax margin	2.8%	3.5%	3.7%	3.3%	3.1%	2.9%	2.9%	3.0%	3.5%	3.3%	3.0%	3.0%
Net margin	1.1%	1.7%	1.6%	1.5%	1.4%	1.4%	1.4%	1.4%	1.3%	1.5%	1.4%	1.3%
YoY (%)												
Net revenue	144%	62%	102%	92%	83%	99%	71%	56%	108%	96%	74%	28%
Gross profit	63%	107%	62%	87%	79%	69%	35%	34%	59%	78%	50%	23%
Operating profit	92%	210%	79%	114%	93%	82%	34%	36%	102%	111%	55%	25%
Pre-tax profit	59%	71%	93%	117%	103%	69%	34%	42%	91%	88%	56%	29%
Net profit	81%	128%	148%	147%	120%	64%	46%	48%	57%	130%	62%	26%
QoQ (%)												
Net revenue	17%	6%	28%	21%	12%	15%	10%	11%				
Gross profit	9%	15%	34%	11%	5%	8%	6%	11%				
Operating profit	14%	15%	46%	12%	3%	8%	7%	13%				
Pre-tax profit	11%	32%	37%	9%	3%	10%	9%	15%				
Net profit	18%	54%	24%	10%	5%	15%	11%	11%				

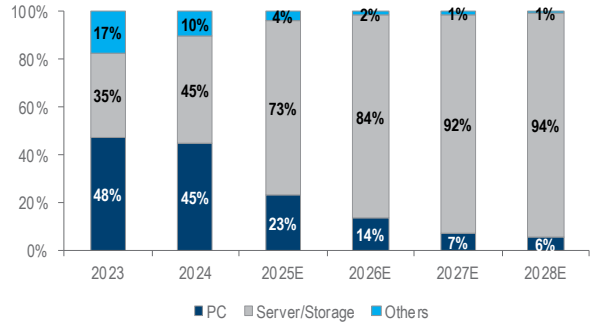
Source: Company, Daiwa forecasts

Wistron: 1-year forward PER bands



Source: Company, TEJ, Daiwa forecasts

Wistron: revenue mix by product



Source: Company, Daiwa forecasts
Note: 1) PC includes: NB, DT and Display, 2) Server/Storage Includes: Server and Wiwynn, 3) Others Includes: Service, IPC and other

Financial summary

Key assumptions

Year to 12 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
MB shipment (k)	25,600.0	21,200.0	19,000.0	20,500.0	23,900.0	20,375.0	16,778.7	16,913.8
VGA shipment (k)	9,020.0	8,700.0	9,000.0	9,400.0	10,000.0	7,882.0	6,437.6	6,553.7
Total server Shipment (k)	0.0	0.0	140.0	330.0	209.1	176.9	177.8	177.8

Profit and loss (TWDm)

Year to 12 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Notebook	370,317	333,393	319,263	361,314	413,532	483,269	434,121	446,412
Desktop	43,104	46,592	47,783	57,590	54,787	57,169	49,646	50,026
Other Revenue	448,662	604,634	500,010	630,352	1,718,203	3,738,152	6,980,218	9,053,977
Total Revenue	**862,083**	**984,619**	**867,057**	**1,049,256**	**2,186,523**	**4,278,591**	**7,463,985**	**9,550,415**
Other income	0	0	0	0	0	0	0	0
COGS	(810,948)	(914,890)	(798,074)	(965,165)	(2,052,539)	(4,040,449)	(7,106,455)	(9,110,288)
SG&A	(13,999)	(17,249)	(17,698)	(19,141)	(24,059)	(32,310)	(42,119)	(49,716)
Other op.expenses	(20,761)	(25,008)	(23,894)	(25,971)	(31,371)	(40,085)	(59,010)	(69,111)
Operating profit	**16,375**	**27,472**	**27,390**	**38,979**	**78,553**	**165,746**	**256,401**	**321,300**
Net-interest inc./(exp.)	(573)	(3,998)	(6,237)	(4,794)	(12,799)	(30,048)	(35,609)	(35,536)
Assoc/forex/extraord./others	3,433	1,237	3,168	5,791	10,503	7,539	2,000	2,000
Pre-tax profit	**19,234**	**24,711**	**24,321**	**39,975**	**76,257**	**143,238**	**222,792**	**287,764**
Tax	(4,506)	(5,693)	(6,055)	(9,339)	(18,485)	(33,853)	(53,470)	(69,063)
Min. int./pref. div./others	(4,260)	(7,855)	(6,794)	(13,191)	(30,364)	(46,343)	(67,236)	(90,054)
Net profit (reported)	**10,468**	**11,162**	**11,472**	**17,446**	**27,408**	**63,042**	**102,085**	**128,647**
Net profit (adjusted)	**10,468**	**11,162**	**11,472**	**17,446**	**27,408**	**63,042**	**102,085**	**128,647**
EPS (reported)(TWD)	**3.606**	**3.847**	**3.956**	**6.023**	**8.617**	**18.378**	**29.760**	**37.504**
EPS (adjusted)(TWD)	**3.606**	**3.847**	**3.956**	**6.023**	**8.617**	**18.378**	**29.760**	**37.504**
EPS (adjusted fully-diluted)(TWD)	**3.606**	**3.847**	**3.956**	**6.023**	**8.617**	**18.378**	**29.760**	**37.504**
DPS (TWD)	**2.203**	**2.155**	**2.551**	**2.573**	**3.796**	**5.000**	**12.000**	**18.000**
EBIT	**16,375**	**27,472**	**27,390**	**38,979**	**78,553**	**165,746**	**256,401**	**321,300**
EBITDA	**25,600**	**38,947**	**39,735**	**50,225**	**91,491**	**177,972**	**272,049**	**341,725**

Cash flow (TWDm)

Year to 12 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	19,234	24,711	24,321	39,975	76,257	143,238	222,792	287,764
Depreciation and amortisation	9,225	11,475	12,345	11,246	12,938	12,225	15,648	20,425
Tax paid	(4,506)	(5,693)	(6,055)	(9,339)	(18,485)	(33,853)	(53,470)	(69,063)
Change in working capital	(47,880)	15,137	12,616	(62,106)	(220,290)	(189,742)	(128,186)	(84,892)
Other operational CF items	2,391	7,811	4,993	25,974	43,770	0	0	0
Cash flow from operations	**(21,536)**	**53,440**	**48,219**	**5,750**	**(105,810)**	**(68,133)**	**56,784**	**154,233**
Capex	(10,496)	(13,609)	(12,961)	(16,593)	(39,615)	(42,786)	(59,712)	(66,853)
Net (acquisitions)/disposals	(196)	710	(940)	2,173	1,935	0	0	0
Other investing CF items	(3,977)	(3,840)	(552)	(6,178)	(5,449)	0	0	0
Cash flow from investing	**(14,670)**	**(16,739)**	**(14,454)**	**(20,598)**	**(43,129)**	**(42,786)**	**(59,712)**	**(66,853)**
Change in debt	50,686	(47,547)	(12,689)	(1,204)	211,919	0	0	0
Net share issues/(repurchases)	0	0	0	0	27,109	45,250	0	0
Dividends paid	(6,258)	(6,257)	(7,401)	(7,462)	(10,997)	(17,151)	(41,163)	(61,745)
Other financing CF items	165	5,438	(3,115)	21,520	(10,837)	2,499	0	0
Cash flow from financing	**44,593**	**(48,366)**	**(23,205)**	**12,855**	**217,195**	**30,597**	**(41,163)**	**(61,745)**
Forex effect/others	(2,509)	7,849	(646)	5,329	(3,279)	0	0	0
Change in cash	**5,878**	**(3,817)**	**9,914**	**3,336**	**64,978**	**(80,321)**	**(44,092)**	**25,636**
Free cash flow	(32,032)	39,831	35,258	(10,843)	(145,425)	(110,918)	(2,928)	87,380

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 12 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	83,644	75,023	79,577	84,825	150,003	69,682	25,590	51,226
Inventory	161,378	156,889	119,720	190,697	355,474	830,229	1,323,942	1,697,259
Accounts receivable	170,313	107,295	128,151	196,095	431,404	410,276	593,029	758,800
Other current assets	6,451	3,778	34,014	8,593	7,251	7,251	7,251	7,251
Total current assets	**421,787**	**342,986**	**361,461**	**480,212**	**944,132**	**1,317,438**	**1,949,812**	**2,514,536**
Fixed assets	42,210	51,515	46,598	57,284	87,914	118,475	162,539	208,967
Goodwill & intangibles	1,730	2,150	2,460	3,408	4,318	4,318	4,318	4,318
Other non-current assets	31,572	36,257	41,872	48,937	61,363	61,363	61,363	61,363
Total assets	**497,298**	**432,908**	**452,391**	**589,841**	**1,097,726**	**1,501,593**	**2,178,031**	**2,789,183**
Short-term debt	140,900	114,279	95,940	81,707	235,166	235,166	235,166	235,166
Accounts payable	168,305	108,802	119,358	177,016	356,019	619,904	1,168,184	1,622,380
Other current liabilities	56,379	63,644	72,953	90,864	141,036	141,036	141,036	141,036
Total current liabilities	**365,583**	**286,725**	**288,252**	**349,587**	**732,221**	**996,106**	**1,544,386**	**1,998,582**
Long-term debt	32,674	20,389	26,525	42,493	95,404	95,404	95,404	95,404
Other non-current liabilities	6,556	7,141	8,851	10,976	16,813	16,813	16,813	16,813
Total liabilities	**404,813**	**314,255**	**323,628**	**403,055**	**844,438**	**1,108,323**	**1,656,603**	**2,110,798**
Share capital	29,033	29,016	28,998	28,964	31,804	34,303	34,303	34,303
Reserves/R.E./others	48,884	67,366	75,226	103,824	145,775	236,915	297,838	364,740
Shareholders' equity	**77,917**	**96,382**	**104,224**	**132,787**	**177,579**	**271,218**	**332,140**	**399,042**
Minority interests	14,568	22,270	24,539	53,998	75,709	122,052	189,289	279,342
Total equity & liabilities	**497,298**	**432,908**	**452,391**	**589,841**	**1,097,726**	**1,501,593**	**2,178,031**	**2,789,183**
EV	703,079	680,497	666,009	691,954	854,857	981,522	1,092,850	1,157,267
Net debt/(cash)	**89,930**	**59,645**	**42,888**	**39,375**	**180,567**	**260,888**	**304,979**	**279,344**
BVPS (TWD)	**26.838**	**33.217**	**35.942**	**45.843**	**55.832**	**79.066**	**96.826**	**116.330**

Key ratios (%)

Year to 12 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	2.0	14.2	(11.9)	21.0	108.4	95.7	74.4	28.0
EBITDA (YoY)	4.4	52.1	2.0	26.4	82.2	94.5	52.9	25.6
Operating profit (YoY)	13.2	67.8	(0.3)	42.3	101.5	111.0	54.7	25.3
Net profit (YoY)	20.6	6.6	2.8	52.1	57.1	130.0	61.9	26.0
Core EPS (fully-diluted) (YoY)	18.0	6.7	2.8	52.2	43.1	113.3	61.9	26.0
Gross-profit margin	5.9	7.1	8.0	8.0	6.1	5.6	4.8	4.6
EBITDA margin	3.0	4.0	4.6	4.8	4.2	4.2	3.6	3.6
Operating-profit margin	1.9	2.8	3.2	3.7	3.6	3.9	3.4	3.4
Net profit margin	1.2	1.1	1.3	1.7	1.3	1.5	1.4	1.3
ROAE	14.0	12.8	11.4	14.7	17.7	28.1	33.8	35.2
ROAA	2.3	2.4	2.6	3.3	3.2	4.9	5.5	5.2
ROCE	6.9	10.6	10.9	13.9	17.6	25.3	32.5	34.5
ROIC	8.0	11.7	11.8	15.0	18.0	23.3	26.3	27.4
Net debt to equity	115.4	61.9	41.1	29.7	101.7	96.2	91.8	70.0
Effective tax rate	23.4	23.0	24.9	23.4	24.2	23.6	24.0	24.0
Accounts receivable (days)	64.8	51.5	49.6	56.4	52.4	35.9	24.5	25.8
Current ratio (x)	1.2	1.2	1.3	1.4	1.3	1.3	1.3	1.3
Net interest cover (x)	28.6	6.9	4.4	8.1	6.1	5.5	7.2	9.0
Net dividend payout	72.1	59.8	66.3	65.0	63.0	58.0	65.3	60.5
Free cash flow yield	n.a.	6.7	5.9	n.a.	n.a.	n.a.	n.a.	14.6

Source: FactSet, Daiwa forecasts

Company profile

Established in 2001 as a spin-off from the design and manufacture department of Acer, Wistron offers design, manufacturing, after-sales and recycling services for information and communication technology products. As of 2024, it ranked as the world's third-largest notebook PC ODM in terms of shipments with primarily international, branded computer-related companies as its customers. In addition to notebooks, Wistron is also a leading player in the global server manufacturing business (mainly L6 for branded customers) and the parent company of Wiwynn, a pure server ODM.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	Wistron's board consists of 9 directors, including 5 independent directors, of whom 3 are male and 2 are female. Wistron held 9 board meetings in 2025 and the directors' average attendance rate was 100%. Wistron has established an "ESG & Information Security Committee" under the board of directors, which was renamed from the ESG Committee in April 2025 to strengthen sustainability and information security governance. Wistron's science-based carbon reduction targets were validated by the Science Based Targets initiative (SBTi) in April 2024, and the company has signed green power purchase agreements. In 2025, renewable electricity accounted for 80% of total electricity consumption.
	Capital management	2	Wistron declared a DPS of TWD5.5 in 2025, representing a payout ratio of 61%, which was within the roughly 59-85% range over 2019-22. As a global leading technology service provider supplying innovative ICT products including PCs, servers and consumer electronics, Wistron is able to deliver solid revenue and profit growth due to high growth from high-margin businesses including AI servers to support a payout ratio of >60%.
	Related party & transaction	1	Revenue from related parties accounted for 0.01% of total 2025 sales, while purchases from related parties accounted for 0.09% of cost of sales in 2025. We see limited risk associated with related-party transactions, as the selling prices and trading terms showed no significant differences from those with third-party customers and vendors.
S	Supply chain management	2	Wistron has established a comprehensive supply chain risk management plan and sustainable supply chain strategy to optimise the core competitiveness of suppliers and strengthen its supply chain's sustainable resilience. Wistron requires its suppliers to sign a supplier code of conduct, which covers labour, health and safety, the environment, code of ethics, and management systems. In 2025, all 421 Tier-1 suppliers and 43 new suppliers signed the code of conduct, achieving a 100% signing rate.
S	Labor practices	2	Wistron adheres to all local regulations and international standards and has implemented varying degrees of response measures for human rights issues. In 2025, Wistron's 6 plants completed the RBA Validated Assessment Program (VAP), all receiving Silver or higher ratings. In addition, 27 manufacturing and business service locations completed the RBA Self-Assessment Questionnaire (SAQ).
E	Product design & lifecycle management	2	Wistron has implemented 3 actions for innovative design of green products including recycled materials (design), reduction in size (manufacturing) and automatic disassembly (disposal). In 2025, products using Wistron's packaging designed with recycled materials accounted for 84.1% of overall revenue. In addition, products using recycled plastics accounted for 40.1% of total product revenue in 2025.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 11 Nov 2026
Source: Daiwa, Company

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